seems to suggest that labour that is entering the labour markets in search of jobs is not finding them in sufficient numbers.

The Quarterly Employment Survey[20] data for the months of October–December 2016, which covers about five per cent of the workforce and hence is indicative, supported these observations showing that 1.13 lakh persons lost their casual jobs in the manufacturing sector, followed by 20,000 people who were laid off in IT/BPO sector.

India's first Chief Statistician, economist Pronab Sen, explained in simple terms, devoid of jargon and statistics, the cascading effect of the loss of jobs on consumer confidence and GDP.[21]

> In a society like India, a person's insecurity arising from his fear of losing his job is less than his insecurity about his children getting jobs. If jobs are not being created, not only will he not get old age insurance that his children were to provide, he will have to provide for them in the future. The level of insecurity, in a sense, is doubled. When people become insecure about their children, they spend less and that has its impact on the economy. That is why the issue of employment is not just about employment, it is also about how people think of their future.

Given the critical importance of more jobs, it is not hard to see why demonetization was such a disaster – far from helping job creation, it caused a devastating loss of jobs. More importantly, it dented confidence across the economy, thus laying the ground for a deceleration in investments and lower job creation for a sustained period going forward.

Impact on Savings and Investment

Though many of us tend to focus on GDP growth rates and unemployment numbers, the levels of savings and investments in any economy are critical drivers of both economic growth and job creation.

Simply put, when people save, they can invest. Aggregated across an economy, household savings can be invested in capital goods, which can be used to produce more goods and services and create